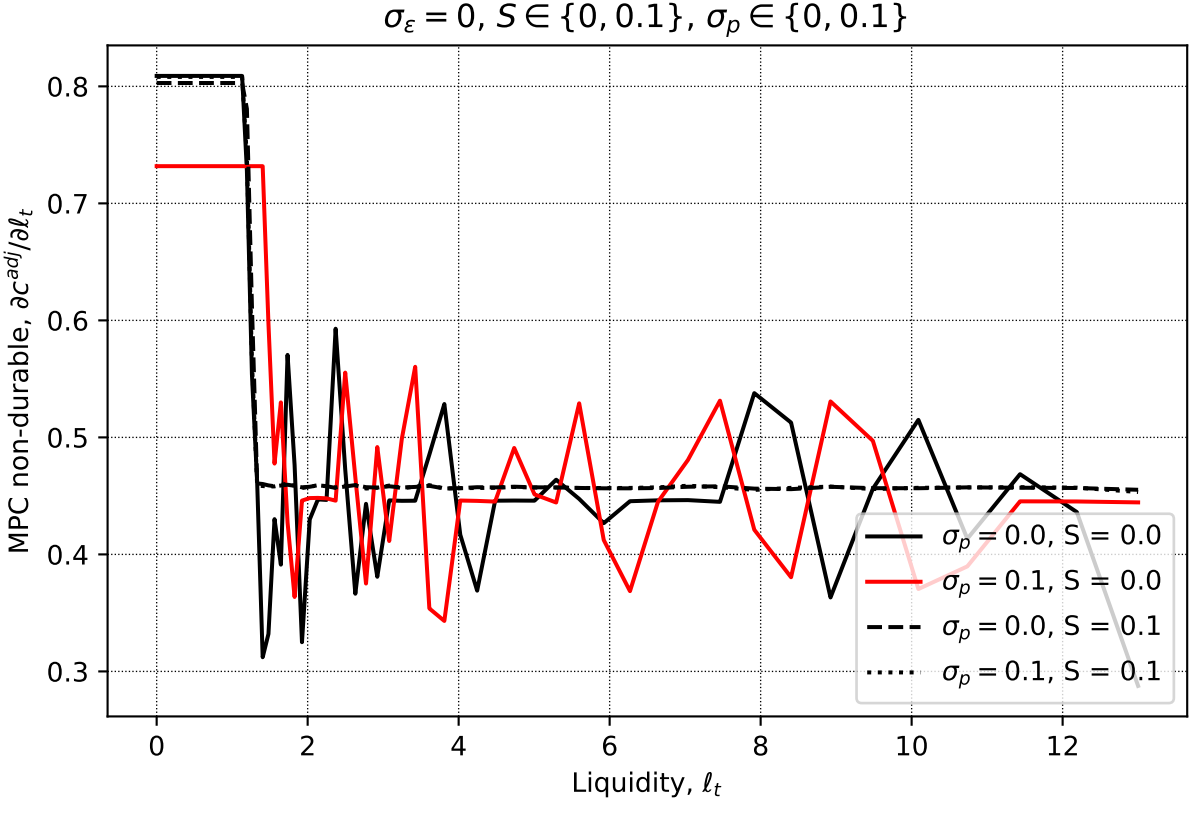
$\sigma_\varepsilon = 0$, $S \in \{0, 0.1\}$, $\sigma_p \in \{0, 0.1\}$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
Liquidity, ℓ_t
0.8
0.7
0.6
0.5
0.4
0.3
0
2
4
6
8
10
12
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.1$, S = 0.0
$\sigma_p = 0.0$, S = 0.1
$\sigma_p = 0.1$, S = 0.1